Fifty-seventh Legislature | Finance
Second Regular Session | H.B. 4026

COMMITTEE ON FINANCE
SENATE AMENDMENTS TO H.B. 4026
(Reference to House engrossed bill)

Amendment instruction key:
[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.
[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

The bill as proposed to be amended is reprinted as follows:

Section 1. Section 42-5032.02, Arizona Revised Statutes, is amended to read:

42-5032.02. Distribution of revenues for city, town or county infrastructure improvements related to manufacturing facilities; definitions

A. Subject to subsection B of this section, from and after September 30, 2013 through September 30, 2033, the state treasurer shall pay in monthly increments a city, town or county up to the amount determined under subsection C of this section for public infrastructure improvements for the benefit of a manufacturing facility.

B. The state treasurer shall not make any payments under subsection C of this section until both of the following apply:

1. Ten percent of the qualifying capital investment that is certified under subsection D of this section and that constitutes construction phase services, as defined in section 42-5075, has been made by the manufacturing facility.

2. From and after June 30, 2014.

C. The total amount paid to a city, town or county under subsection A of this section shall not exceed the total amount of state transaction privilege tax revenues collected under section 42-5010, subsection A from persons conducting business under section 42-5075 derived from contracts to construct buildings and associated improvements for the benefit of a manufacturing facility or [~~eighty~~] [SEVENTY-FIVE] percent of the total cost of the public infrastructure improvements, whichever is less. The total amount paid to all cities, towns and counties under this subsection shall not exceed a maximum of [THE FOLLOWING:

1. THROUGH JUNE 30, 2026,] [$200,000,000] [~~$75,000,000 EACH FISCAL YEAR~~].

[2. BEGINNING FROM AND AFTER JUNE 30, 2026, $100,000,000 PLUS THE DIFFERENCE BETWEEN THE MAXIMUM AMOUNT PRESCRIBED IN PARAGRAPH 1 OF THIS SUBSECTION AND THE TOTAL AMOUNT ACTUALLY PAID TO ALL CITIES, TOWNS AND COUNTIES UNDER THIS SUBSECTION AS OF JUNE 30, 2026, IF ANY.]

D. Within one hundred eighty days after the commencement of the construction of buildings and associated improvements for the benefit of a manufacturing facility that will require a city, town or county to make infrastructure improvements, the manufacturing facility shall file a sworn certification with the Arizona commerce authority and submit a copy of this sworn certification to the applicable city, town or county that the manufacturing facility agrees to either:

1. Make at least [~~$500,000,000~~] [$3,000,000,000] in capital investment if the manufacturing facility is located in a county that has a population of eight hundred thousand persons or more.

2. Make at least [~~$50,000,000~~] [$100,000,000] in capital investment if the manufacturing facility is located in a county that has a population of less than eight hundred thousand persons.

E. The certification under subsection D of this section shall contain a sworn statement or certification, signed by an officer of the manufacturing facility under penalty of perjury, that the information contained is true and correct according to the best belief and knowledge of the person submitting the information after a reasonable investigation of the facts.

F. Before submitting the certification to the Arizona commerce authority, the manufacturing facility and the city, town or county must enter into a written agreement that:

1. Identifies and states the cost of the public infrastructure improvements that will be constructed.

2. Identifies the sources of monies, including monies received pursuant to this section, that will be used to pay for the public infrastructure improvements.

G. On receipt of the sworn certification from a manufacturing facility pursuant to subsection D of this section, the city, town or county shall enter into a written agreement with the department. This agreement and any amendments or changes to the agreement shall:

1. State the cost of the public infrastructure improvements and separately identify the particular improvements that will be made.

2. State that the monies received under this section will be used exclusively to pay for public infrastructure improvements that are necessary to support the activities of the manufacturing facility.

3. State that the city, town or county will commit all of its portion of the revenue received pursuant to section 42-5029, subsection D derived from contracts subject to section 42-5075 to construct buildings and associated improvements for the benefit of the manufacturing facility

for public infrastructure improvements that benefit the manufacturing facility.

4. State that the city, town or county will immediately notify the department when monies received under this section exceed ~~eighty~~ [SEVENTY-FIVE] [percent of the cost of the infrastructure improvements] [~~THE TOTAL AMOUNT THE CITY, TOWN OR COUNTY MAY RECEIVE PURSUANT TO SUBSECTION C OF THIS SECTION~~] and will return the amount of the excess to the state treasurer for deposit in the state general fund.

5. Stipulate the actual amount of the construction funding that will be derived from sources other than this state. [THE CITY, TOWN OR COUNTY SHALL PROVIDE AT LEAST FIVE PERCENT OF THE CONSTRUCTION FUNDING.]

6. Identify the persons who will be prime contractors on the construction of buildings and associated improvements for the benefit of a manufacturing facility and state that each prime contractor has been notified as to which portion of the contractor's income shall be separately identified to the department pursuant to section 42-5075, subsection H.

7. State that the city, town or county agrees that any amounts paid by the department to a prime contractor as identified under paragraph 6 of this subsection resulting from an audit adjustment or claim for credit or refund of taxes described in subsection C of this section shall be recovered by the department from the city, town or county by reducing the amount paid to the city, town or county under section 42-5029 from monies designated as distribution base in the month next succeeding the month in which the adjustment or claim is paid.

8. State that the city, town or county agrees that the department will use the amounts subject to any distribution required under subsection A of this section in calculating the maximum amount set by subsection C of this section.

9. State that the city, town or county agrees that if, on notification by the department, the state treasurer ceases payments because of the condition described in subsection H of this section, the city, town or county has no claim to additional payments if the department subsequently pays amounts to a prime contractor identified in an agreement with any city, town or county, as described in paragraph 6 of this subsection, due to an audit adjustment or claim for credit or refund of taxes described in subsection C of this section.

10. PROVIDE AN ANALYSIS OF THE ANTICIPATED DIRECT AND INDIRECT REVENUES THIS STATE WILL RECEIVE AS A RESULT OF CONSTRUCTING THE MANUFACTURING FACILITY TO THE ARIZONA COMMERCE AUTHORITY.

~~10.~~ 11. Provide any other information deemed necessary by the department.

H. On notification by the department, the state treasurer shall cease payments under subsection A of this section if either of the following occurs:

1. The city, town or county has received monies that meet or exceed eighty percent of the cost of the public infrastructure improvements that are necessary to support the activities related to the manufacturing facility as described in the written agreement pursuant to subsection G of this section.

2. The total amount subject to any distribution required under subsection A of this section has met the maximum amount set by subsection C of this section [~~AS OF JUNE 30 OF EACH YEAR~~].

[~~I. IF THERE ARE MONIES ELIGIBLE TO BE PAID TO A CITY, TOWN OR COUNTY PURSUANT TO THIS SECTION THAT EXCEED THE MAXIMUM AMOUNT SET BY SUBSECTION C OF THIS SECTION FOR THE FISCAL YEAR, THE DEPARTMENT SHALL RETAIN THOSE MONIES AND DIRECT THE STATE TREASURER TO RESUME PAYING THOSE MONIES TO THE CITY, TOWN OR COUNTY THE FOLLOWING FISCAL YEAR. THE STATE TREASURER SHALL MAKE PAYMENTS PURSUANT TO THIS SECTION IN THE ORDER IN WHICH THE EXPENSE IS SUBMITTED FOR REIMBURSEMENT.~~]

[~~J.~~][I.] THE DEPARTMENT SHALL POST DEVELOPMENT AGREEMENTS AND INTERGOVERNMENTAL AGREEMENTS ENTERED INTO WITH A CITY, TOWN OR COUNTY PURSUANT TO THIS SECTION ON THE DEPARTMENT'S WEBSITE.

~~I.~~ [~~K.~~] [J.] For the purposes of this section:

1. "Associated improvement" includes any public infrastructure improvement that is made for the benefit of the manufacturing facility outside of the parcel or parcels of real property where the manufacturing facility is located.

2. "Capital investment" means an expenditure to acquire, lease or improve property that is used for the benefit of a manufacturing facility, including land, buildings, machinery and fixtures.

3. "Manufacturing facility":

(a) Means an establishment that is engaged in the mechanical, physical or chemical transformation or fabrication of materials, substances or components into new products in this state, that is classified within sections 31 through 33 inclusive of the 2007 edition of the North American industry classification system as published by the national technical information service of the United States department of commerce and that agrees to either:

(i) Make at least [~~$500,000,000~~] [$3,000,000,000] in capital investment if the manufacturing facility is located in a county that has a population of eight hundred thousand persons or more.

(ii) Make at least [~~$50,000,000~~] [$100,000,000] in capital investment if the manufacturing facility is located in a county that has a population of less than eight hundred thousand persons.

(b) Does not include mining, milling or smelting mineral ore or generating electricity.

4. "Population" means the population determined in the most recent United States decennial census or the most recent special census as provided in section 28-6532.

5. "Public infrastructure" means water production, delivery and disposal facilities, wastewater production, RECLAMATION, RECYCLING, TREATMENT, STORAGE, delivery and disposal facilities and roads that are necessary to support the activities of the manufacturing facility.

<<Sec. 2. Retroactivity

[This act applies retroactively to from and after June 30, 2026.]>>

Enroll and engross to conform

Amend title to conform